Block practice · Marketing and market research

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Market research methods: primary and secondary

Why businesses carry out market research

Why marketing matters: needs, loyalty and share

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Practice workbook · Market research methods: primary and secondary

Primary methods (survey, questionnaire, focus group, observation, test marketing) and secondary sources (internet, market and government reports): examples, benefits, drawbacks and choosing a method.

33 question parts: 1 worked-example retry and 32 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-01

1. Question 2 · part c · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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1. Question 2 · part c · 3 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part c only.

(d) Explain **one** limitation of a cash flow forecast when making business decisions.

(3)

(e) Explain **one** benefit to a business of using crowdfunding as a source of finance.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.i · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a.i only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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2. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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2 *Yellow* has introduced a new product, 'Design Your Own Shirt'. Customers can choose the colour, sleeve length and number of pockets.

(a) State **one** benefit to *Yellow of* introducing this product.

(1)

(b) State **one** way *Yellow* could carry out market research.

(1)

(c) Explain **one** benefit to a business of retaining its employees.

(3)

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(d) Explain **one** advantage for a business of using targeted advertising online.

(3)

3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) State **one** primary research method that *Loaf* could use.

(1)

(b) State **one** drawback for *Loaf* of poor customer service.

(1)

(c) Explain **one** benefit to a business of using e-newsletters.

(3)

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4. Question 2 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.iii only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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5. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.iii only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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5. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.i · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a.i only.

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1 (a) (i) Which **one** of the following is an advantage of primary market research?

(1)

Select **one** answer.

- ☒ **A** It is a more up to date method of research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is cheaper than other types of market research
- ☒ **D** It is only done by market-research agencies

(ii) Which **one** of the following is a financial objective?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Market share
- ☒ **C** Independence
- ☒ **D** Control

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6. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.ii · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.ii only.

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1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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7. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS A

1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

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- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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8. Question 1 · part d · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

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8. Question 1 · part d · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(b) Define the term **job production**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

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(d) State **one** method *Can Culleretes* could use to collect quantitative market research.

(1)

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Figure 1 is an extract from *Can Culleretes'* cash-flow forecast.

	June
Opening balance	€4 400
Cash inflow	€4 600
Cash outflow	€3 000
Net cash flow	

Figure 1

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(e) Calculate the net cash flow for *Can Culleretes* in June. You are advised to show your working.

(2)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

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9. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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9. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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9. Question 1 · part a.vi · 1 mark · Working and answer

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10. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

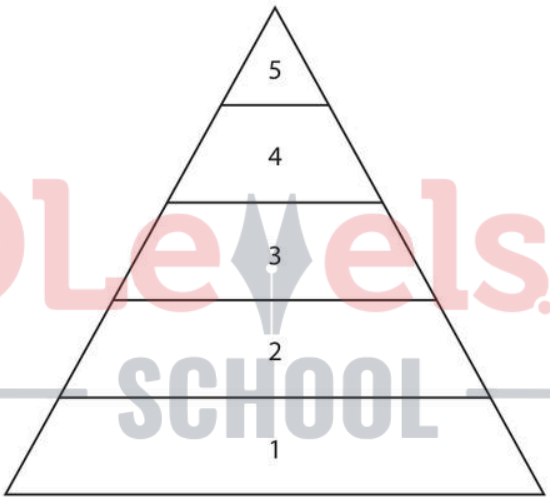


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

10. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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10. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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10. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

(b) Define the term **public corporation**.

(1)

(c) Define the term **qualitative market research**.

(1)

(d) State **one** reason why it is important for *M&M* to motivate its employees.

(1)

In 2019 *M&M* borrowed 448 million Indian Rupees. In 2020 it borrowed 900 million Indian Rupees.

(e) Calculate, to two decimal places, the percentage increase from 2019 to 2020. You are advised to show your working.

(2)

.....%

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10. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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11. Question 1 · part a.i · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part a.i only.

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1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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11. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

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12. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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12. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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12. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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12. Question 1 · part a.vi · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

(b) Define the term **e-newsletter**.

(1)

(c) Define the term **minimum wage**.

(1)

(d) State **one** reason why *Jimmy Choo* would want loyal customers.

(1)

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12. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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13. Question 1 · part a.ii · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a.ii only.

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1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

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(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

13. Question 1 · part a.ii · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following would increase the break-even point?

Select **one** answer.

(1)

- ☒ **A** A decrease in the fixed costs
- ☒ **B** An increase in the variable costs
- ☒ **C** An increase in the selling price
- ☒ **D** A decrease in total costs

(iv) Which **one** of the following is provided by a person applying for a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Curriculum vitae (CV)
- ☒ **C** Personal specification
- ☒ **D** Disciplinary and grievance procedures

Figure 1 shows an extract from a statement of comprehensive income in 2023.

	£
Sales	90 000
Cost of sales	11 000
Gross profit	79 000
Operating expenses	18 000

Figure 1

(v) Which **one** of the following is the operating profit in 2023?

Select **one** answer.

(1)

- ☒ **A** £29 000
- ☒ **B** £79 000
- ☒ **C** £72 000
- ☒ **D** £61 000

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13. Question 1 · part a.ii · 1 mark · Working and answer

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14. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

14. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

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CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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14. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

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(b) Define the term **branding.**

(1)

(c) Define the term **autonomy.**

(1)

14. Question 1 · part d · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) State **one** method of secondary market research *CCT* could use to collect market data.

(1)

In 2024 *CCT* had current assets of 561 258 CYN and current liabilities of 233 098 CYN.

(e) Calculate, to two decimal places, the current ratio for 2024. You are advised to show your working.

(2)

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(f) Explain **one** benefit to a business owner of operating as a private limited company.

(3)

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14. Question 1 · part d · 1 mark · Working and answer

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15. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

P 7 8 7 9 7 A 0 3 2 0

15. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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P 7 8 7 9 7 A 0 4 2 0

15. Question 1 · part a.iv · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

.....

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(c) Define the term **qualitative data**.

(1)

.....

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15. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

16. Question 2 · part b · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

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16. Question 2 · part b · 1 mark · Working and answer

Working and answer

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17. Question 2 · part d · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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17. Question 2 · part d · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** benefit to a business of using the internet to carry out secondary market research.

(3)

(e) Explain **one** benefit to a business of continually introducing new products.

(3)

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17. Question 2 · part d · 3 marks · Working and answer

Working and answer

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18. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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18. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

(d) Explain **one** benefit of being a multinational business.

(3)

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(e) Explain **one** reason why secondary research would be used by a business.

(3)

OLevels.com SCHOOL

18. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

Huawei use a range of motivational methods to ensure its employees remain with them and do not leave. It has to make a decision on which of the following two options it will use. It is considering two methods:

Option 1: financial

Option 2: non-financial.

(f) Justify which **one** of these two options *Huawei* should choose.

(9)

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18. Question 2 · part e · 3 marks · Working and answer

Working and answer

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19. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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19. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

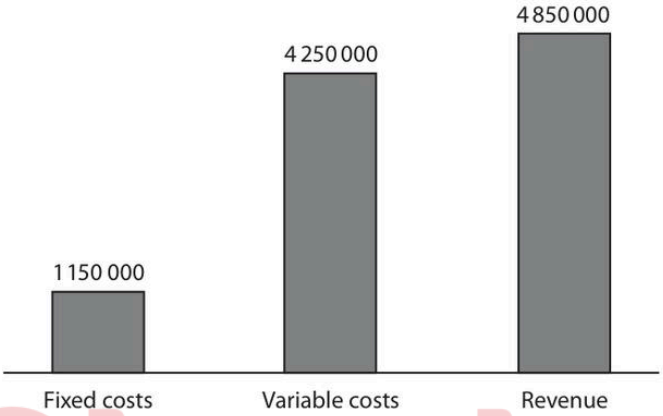


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

- ☒ **A** Total costs of 10 250 000
- ☒ **B** Cash inflow of 3 100 000
- ☒ **C** Loss of 550 000
- ☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

- ☒ **A** Being able to choose your own suppliers
- ☒ **B** Selling an established brand
- ☒ **C** Not having to pay interest on a bank loan
- ☒ **D** Having complete control of the business

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19. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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19. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

LEGO sells pineapple pencil holders for 148.00 DKK. The markup is 15%.

(e) Calculate, to two decimal places, the cost of making the pineapple pencil holders.
You are advised to show your working.

(2)

..... DKK

(f) Explain **one** disadvantage of using questionnaires as a method of market research.

(3)

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19. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

(g) Analyse the benefits for *LEGO* of being a multinational business.

(6)

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(Total for Question 1 = 20 marks)

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19. Question 1 · part f · 3 marks · Working and answer

Working and answer

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20. Question 1 · part f · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

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1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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20. Question 1 · part f · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

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20. Question 1 · part f · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

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(b) Define the term **limited liability**.

(1)

(c) Define the term **social enterprise**.

(1)

(d) State **one** way *Irsi Chocolatier* could use the Boston matrix.

(1)

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A customer buying five boxes of chocolates for a total of €75.50 is given a 6% discount.

(e) Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. You are advised to show your working.

(2)

€.....

20. Question 1 · part f · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

(f) Explain **one** benefit for a business that uses test marketing.

(3)

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20. Question 1 · part f · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

(g) Analyse the importance of branding for *Irsi Chocolatier*.

(6)

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(Total for Question 1 = 20 marks)

20. Question 1 · part f · 3 marks · Working and answer

Working and answer

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21. Question 3 · part b · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part b only.

3 *IKEA* aims to retain as many of its employees as possible.

(a) Define the term **overdraft**.

(1)

(b) Outline **one** reason why *IKEA* would read reports issued by governments.

(2)

IKEA is keen to reward long-serving employees. An employee who has worked with *IKEA* for 10 years is given a bonus of 7.5% on top of their annual earnings of 177 070 SEK.

(c) Calculate, to two decimal places, the bonus this employee would receive. You are advised to show your working.

(2)

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21. Question 3 · part b · 2 marks · Working and answer

Working and answer

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22. Question 3 · part b · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

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3 (a) Define the term **diseconomies of scale**.

(1)

(b) Outline **one** method of primary market research that *PPS* could use to gain feedback on its services.

(2)

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22. Question 3 · part b · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

Figure 3 is an extract of financial information from a *PPS* monthly cash flow forecast.

	€
Opening balance	16 000
Cash inflow	22 000
Cash outflow	20 000

Figure 3

(c) Calculate the closing balance. You are advised to show your working.

(2)

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P 7 5 8 4 1 A 0 1 4 2 4

22. Question 3 · part b · 2 marks · Working and answer

Working and answer

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23. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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23. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

The cost of getting a room ready for customers at the UAE *Premier Inn* is 325 Arab Emirates Dirham (AED).

Premier Inn then adds 25% for other expenses including salaries.

(iv) Which **one** of the following would be the total amount paid in AED by a customer for a room?

Select **one** answer.

(1)

- ☒ **A** 81.25
- ☒ **B** 243.75
- ☒ **C** 350.00
- ☒ **D** 406.25

Figure 1 – Extract from *Premier Inn* financial report in 2021–2022.

	2021 £ millions	2022 £ millions
Revenue	249.60	772.80

Figure 1

(v) Which **one** of the following is the percentage increase in revenue from 2021 to 2022.

Select **one** answer.

(1)

- ☒ **A** 5.23%
- ☒ **B** 67.70%
- ☒ **C** 209.62%
- ☒ **D** 523.20%

(vi) Which **one** of the following is an internal source of finance for a business?

Select **one** answer.

(1)

- ☒ **A** Crowdfunding
- ☒ **B** Loan capital
- ☒ **C** Personal savings
- ☒ **D** Venture capital

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23. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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(b) Define the term **job description**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.

(1)

OLevels.COM SCHOOL

23. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

To encourage people to stay at a new German hotel, *Premier Inn* offers a 12.5% discount on a room for the first night only.

The price for one night is €89.25.

(e) Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working.

(2)

€ .....

(f) Explain **one** advantage of using focus groups when carrying out market research.

(3)

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23. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

Premier Inn plans to open more hotels in India.

(g) Analyse the benefits for India of these plans.

(6)

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(Total for Question 1 = 20 marks)

23. Question 1 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

24. Question 1 · part g · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

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1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer. (1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

(ii) Which **one** of the following is an example of secondary research?

Select **one** answer. (1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

OLevels.com SCHOOL

24. Question 1 · part g · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

(iii) Which **one** of the following would increase the break-even point?

Select **one** answer.

(1)

- ☒ **A** A decrease in the fixed costs
- ☒ **B** An increase in the variable costs
- ☒ **C** An increase in the selling price
- ☒ **D** A decrease in total costs

(iv) Which **one** of the following is provided by a person applying for a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Curriculum vitae (CV)
- ☒ **C** Personal specification
- ☒ **D** Disciplinary and grievance procedures

Figure 1 shows an extract from a statement of comprehensive income in 2023.

	£
Sales	90 000
Cost of sales	11 000
Gross profit	79 000
Operating expenses	18 000

Figure 1

(v) Which **one** of the following is the operating profit in 2023?

Select **one** answer.

(1)

- ☒ **A** £29 000
- ☒ **B** £79 000
- ☒ **C** £72 000
- ☒ **D** £61 000

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P 7 5 9 6 0 A 0 4 2 0

24. Question 1 · part g · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

The currency of Türkiye is the Turkish lira (TRY).

In 2021 the cost of material for one robot was 80 000 TRY.

In 2023 the cost of material for one robot was 92 000 TRY.

(vi) Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023?

Select **one** answer.

(1)

- ☒ **A** 1.30%
- ☒ **B** 13.04%
- ☒ **C** 15.00%
- ☒ **D** 86.96%

(b) Define the term **stakeholder**. (1)

(c) Define the term **social enterprise**. (1)

(d) State **one** non-current asset that *Saha* is likely to have. (1)

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OLevels.COM — SCHOOL

24. Question 1 · part g · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

The price of a battery pack for a *Saha* robot is $90 each.

In 2023 it sold five battery packs every month.

(e) Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023.
You are advised to show your working.

(2)

$ .....

(f) Explain **one** advantage to a business of having limited liability.

(3)

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24. Question 1 · part g · 6 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

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(g) Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products.

(6)

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(Total for Question 1 = 20 marks)

24. Question 1 · part g · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

25. Question 3 · part e · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 Figure 1 is an extract from *Lavender's* Statement of Comprehensive Income. Use the information below and then answer the following questions.

	Bakery (000s MYR)	*L.café* (000s MYR)	*L.bistro* (000s MYR)
Revenue	149	75	65
Cost of sales	83	51	33
Gross profit	66	24	32
Gross profit margin	44.3%		49.2%

Figure 1

(a) Define the term **current liabilities**.

(1)

(b) Outline **one** reason why the revenue is higher for the Bakery shops rather than for *L.café* and *L.bistro*.

(2)

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25. Question 3 · part e · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) Using Figure 1, calculate the gross profit margin for *L.café*. You are advised to show your workings.

(2)

.....%

(d) Analyse how the Statement of Comprehensive Income can be used by *Lavender* when considering its expansion.

(6)

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OLevels.COM — SCHOOL —

25. Question 3 · part e · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

To expand by opening new outlets, *Lavender* will need to know what its customers' needs and wants are.

In order to do this, *Lavender* are considering the following **two** options:

Option 1: primary market research

Option 2: secondary market research.

(e) Justify which **one** of these two methods *Lavender* should use.

(9)

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(Total for Question 3 = 20 marks)

25. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

26. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

3 The Chairman of *Tata Motor Company* works closely with the Finance Department to ensure that the company maintains its financial position. **Figure 2** shows the revenue for *Tata Motor Company*, 2011–2017.

Year	US$ (millions)
2011	18 441
2013	28 508
2015	39 737
2017	42 839

Figure 2

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Tata Motor Company* uses overdrafts.

(2)

(c) Calculate to 2 decimal places, the percentage increase in revenue from 2011 to 2017. You are advised to show your working.

(2)

%

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26. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Analyse how *Tata Motor Company* could use the financial information in **Figure 2**.

(6)

OLevels.com SCHOOL

26. Question 3 · part e · 9 marks

2019 JUN · Paper 02

Further practice · Attempt part e only.

Tata Motor Company gathers data to help it promote its vehicles. It is considering **two** options:

Option 1: primary research

Option 2: secondary research.

(e) Justify which **one** of these two options *Tata Motor Company* should use.

(9)

OLevels.com SCHOOL

(Total for Question 3 = 20 marks)

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26. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

27. Question 2 · part f · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

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2 *Emirates* wants to encourage its employees to remain with the company and offers them incentives to do so. It offers all of its passengers a loyalty programme.

(a) State **one** non-financial method *Emirates* could use to motivate its employees.

(1)

(b) State **one** reason why *Emirates* has a loyalty programme for its passengers.

(1)

(c) Explain **one** benefit for a business of having full-time employees.

(3)

OLevels.COM SCHOOL

27. Question 2 · part f · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

(d) Explain **one** reason for a business using seasonal staff.

(3)

(e) Explain **one** reason why employees should undertake health and safety training as part of their induction programme.

(3)

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OLevels.com SCHOOL

P 6 2 4 2 7 A 0 1 0 2 0

27. Question 2 · part f · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

Emirates wants to improve its popularity among passengers and become the leading airline again. It needs to carry out market research. It is considering two options:

Option 1: questionnaires

Option 2: focus groups.

(f) Justify which **one** of these two options *Emirates* should use. (9)

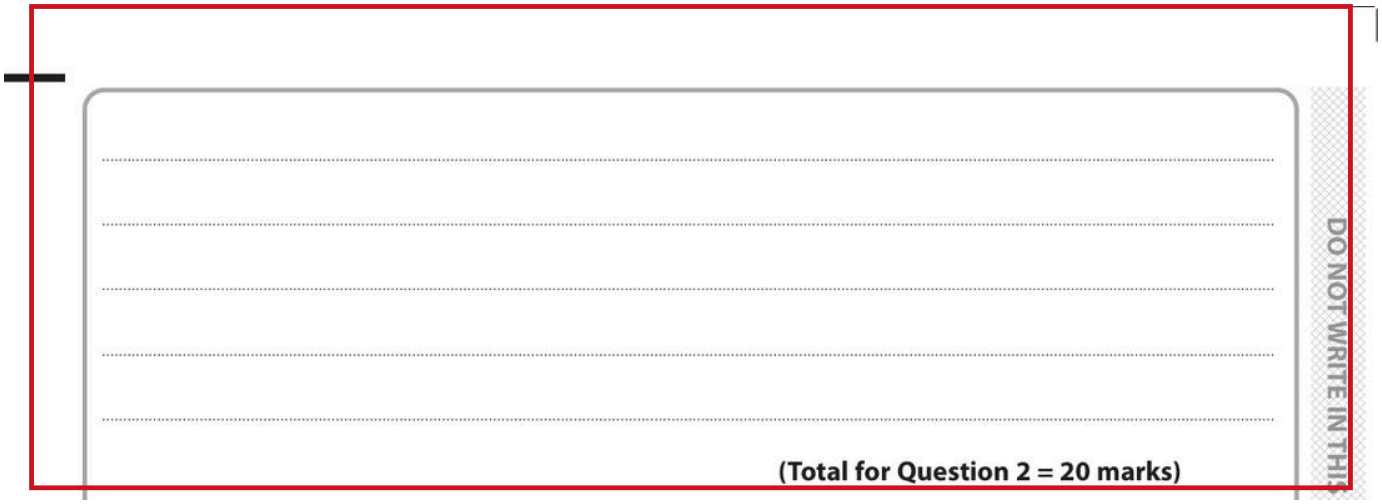
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27. Question 2 · part f · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.



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27. Question 2 · part f · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

28. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **remuneration**.

(1)

(b) Outline **one** reason why *NOF* would choose to use seasonal staff when harvesting its products.

(2)

NOF is looking to expand its product range by making and selling tubs of ice cream.

A tub of ice cream will sell for £2.50.

Variable costs will be £1.10 per tub of ice cream with fixed costs of £77 per day.

(c) Calculate the number of tubs of ice cream *NOF* will have to sell each day to break-even. You are advised to show your working.

(2)

.....Tubs of ice cream

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28. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(d) Analyse how useful break-even calculations can be for *NOF* when deciding whether to include ice cream in its product range.

(6)

OLevels.com SCHOOL

28. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

NOF is looking to increase the number of visitors to the farm. It will need to carry out some research as to what potential visitors will want.

To do this *NOF* is considering two options:

Option 1: handing out questionnaires at local retailers

Option 2: using the internet to research other farms.

(e) Justify which **one** of these two options *NOF* should choose.

(9)

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28. Question 3 · part e · 9 marks

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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28. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

29. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **inventory**.

(1)

(b) Outline **one** method that *TBTS* might use to respond to greater competition.

(2)

In 2021, a *TBTS* toy shop had current liabilities of 36 000 SGD and current assets of 216 000 SGD.

(c) Calculate the current ratio for 2021. You are advised to show your working.

(2)

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29. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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(d) Analyse the importance of *TBTS* motivating its employees.

(6)

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29. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

TBTS is planning to introduce a new range of toys for four-year-old children. It will need to carry out some research from its customers, including children and parents, to find out what they want.

TBTS is considering two options:

Option 1: hand out questionnaires to customers that visit the shops

Option 2: hold focus group meetings with parents and their children.

(e) Justify which **one** of these two options *TBTS* should choose.

(9)

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29. Question 3 · part e · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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29. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

30. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Define the term **variable costs**.

(1)

(b) Outline **one** way *Aude Rose* could extend the product life cycle of one of its products.

(2)

Figure 1 shows the retained profit for *Aude Rose*.

2021	€16 260
2022	€12 594

Figure 1

(c) Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. You are advised to show your working.

(2)

..... %

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30. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Aude Rose is considering introducing a wider range of flowers for sale.

(d) Analyse the impact on *Aude Rose* of using its retained profits for this proposed development.

(6)

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30. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Aude Rose is always looking to keep up with changes and new trends in the flower market. It is anticipating that this year there may well be many changes in the industry and it wants to do some research.

Aude Rose is considering two options:

Option 1: handing out questionnaires to customers that visit the shop

Option 2: using the internet to research new trends.

(e) Justify which **one** of these two options *Aude Rose* should choose.

(9)

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30. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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30. Question 3 · part e · 9 marks · Working and answer

Working and answer

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31. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

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3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

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31. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

Figure 1 shows the current assets and current liabilities for *TUI* in 2022.

2022	€ '000
Current assets	7 758 152
Current liabilities	5 654 468

Figure 1

(c) Calculate, to two decimal places, the current ratio for *TUI* for 2022. You are advised to show your working.

(2)

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31. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Analyse the effect on *TUI* customers of an increase in interest rates.

(6)

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31. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.

TUI constantly checks for customer feedback and comments on its holidays, including hotel stays and cruises. It is considering the following two options to gain the most up-to-date views:

Option 1: using the internet

Option 2: asking customers to complete a questionnaire.

(e) Justify which **one** of these two options *TUI* should use.

(9)

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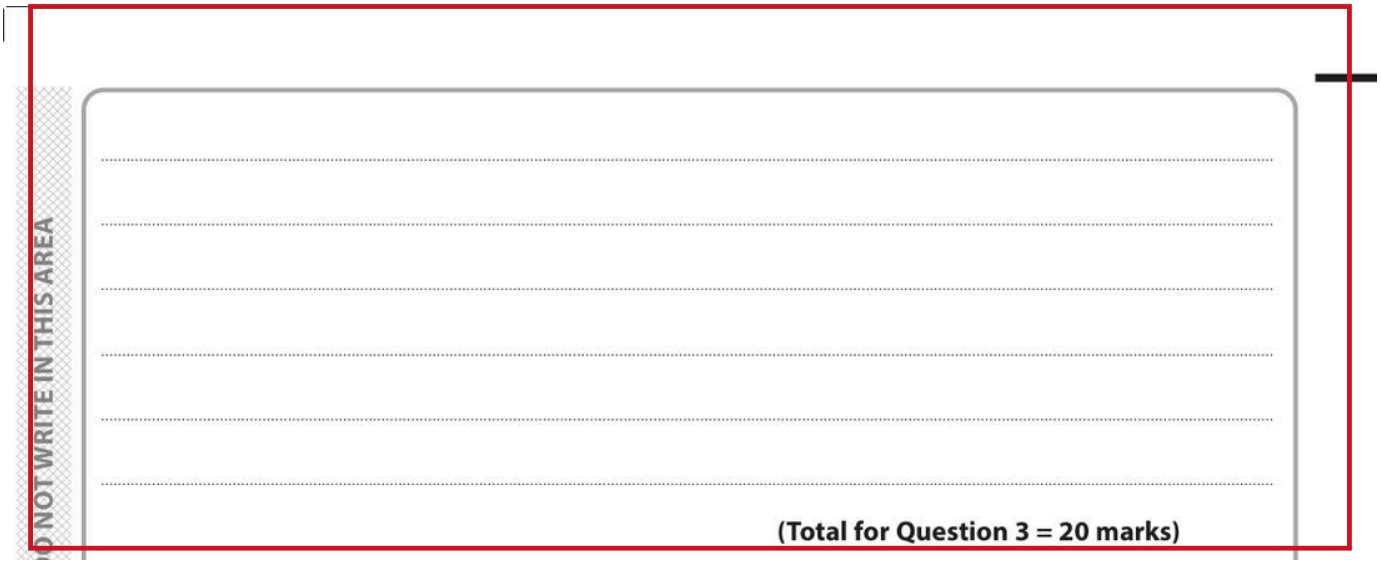
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31. Question 3 · part e · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part e only.



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31. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

32. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

4 *Backyard Shoez* buys children's shoes for 2 400 Ks and sells them for 3 200 Ks.

(a) Calculate the markup on these shoes. You are advised to show your working.

(2)

.....%

(b) Analyse the usefulness of profitability ratios to *Backyard Shoez*.

(6)

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32. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(c) Evaluate the importance of primary market research to *Backyard Shoez*. You should use the information provided as well as your own knowledge of business.

(12)

(Total for Question 4 = 20 marks)

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32. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

33. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 **Figure 2** is an extract of financial information from *Café Pinch*.

Operating profit	€84 054
Current assets	€75 000
Current liabilities	€63 000
Capital employed	€266 058

Figure 2

(a) Calculate, to two decimal places, the return on capital employed (ROCE). You are advised to show your working.

(2)

.....%

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33. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Analyse how *Café Pinch* could use market segmentation to target its customers.

(6)

OLevels.com SCHOOL

33. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Café Pinch needs to ensure it understands the needs of its customers to continue being successful.

(c) Evaluate the importance of using methods of market research for *Café Pinch* to meet customer needs. You should use the information provided as well as your own knowledge of business.

(12)

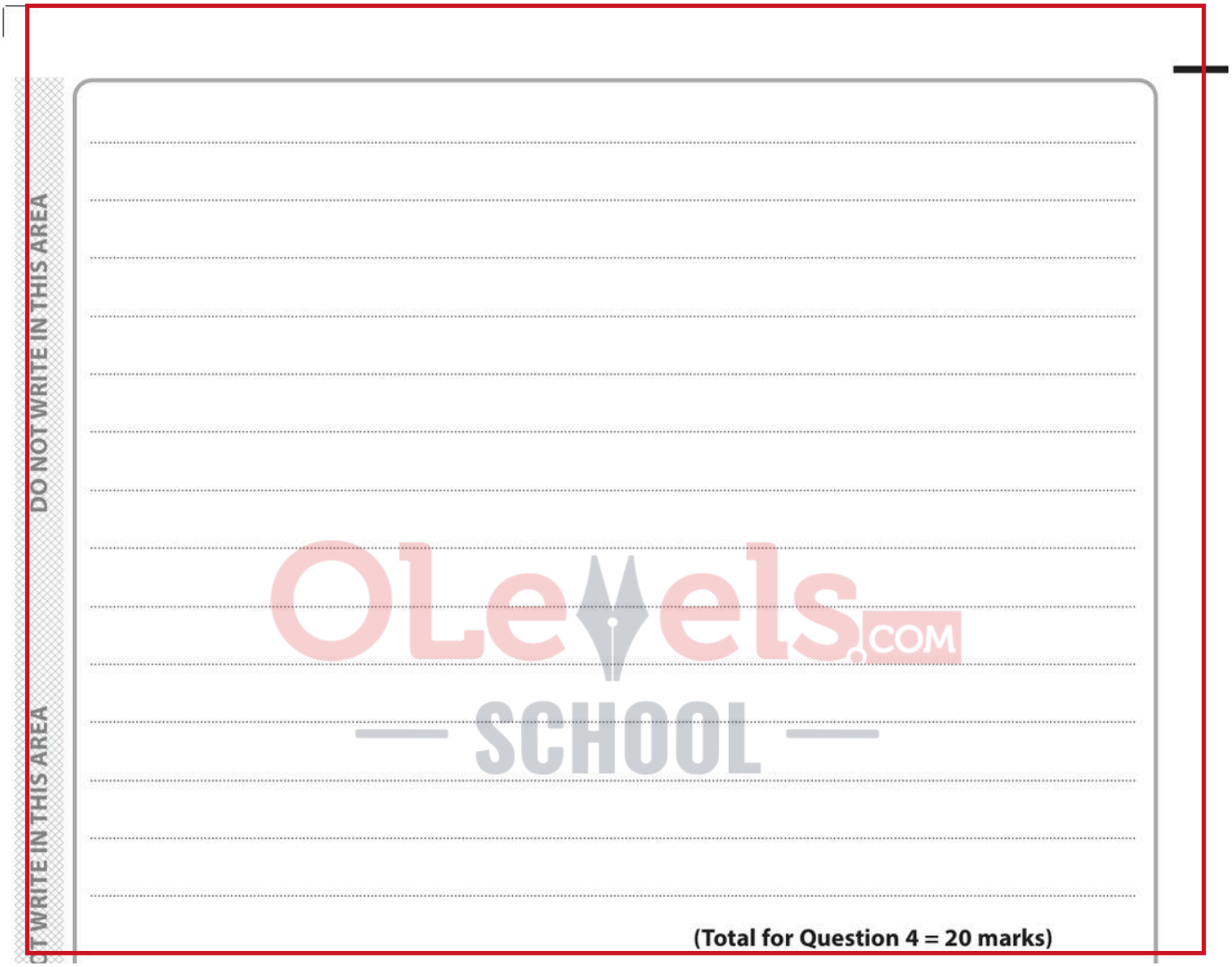
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33. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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33. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Why businesses carry out market research

Why businesses research markets: understanding customer needs, finding gaps, reducing risk and informing decisions.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-02

1. Question 2 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

2 *TADS* is looking to expand by offering lessons in other musical instruments.

(a) State **one** reason why this could lead to the business failure of *TADS*.

(1)

(b) State **one** benefit to *TADS* of using casual staff to teach music lessons.

(1)

(c) Explain **one** purpose of market research for a business.

(3)

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1. Question 2 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

(d) Explain **one** way to measure the success of a business.

(3)

(e) Explain **one** impact of an increase in interest rates on a business.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.iii only.

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1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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P 5 9 9 3 0 R A 0 3 1 6

2. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.iii only.

(iv) In a break-even graph, the break-even point is when:

(1)

- ☒ **A** total costs and fixed costs are the same
- ☒ **B** fixed costs and variable costs are the same
- ☒ **C** total costs and revenue are the same
- ☒ **D** fixed costs and revenue are the same

Figure 1 gives details of one of the many suppliers of tyres to *Tata Motor Company*.

Production each month	2,400
Average price per tyre	€27
Variable costs per tyre	€12
Fixed costs per month	€6 000

Figure 1

(v) What are the monthly total costs for the business?

(1)

- ☒ **A** €8 412
- ☒ **B** €34 800
- ☒ **C** €74 400
- ☒ **D** €204 000

A customer in Germany wishes to buy a Tata Nano car from India. The cost of this vehicle is 465 000 Indian Rupees (RS). The exchange rate is €1.00 = RS78

(vi) What would the German customer pay to the nearest euro for the car?

(1)

- ☒ **A** €3 621
- ☒ **B** €4 650
- ☒ **C** €5 962
- ☒ **D** €36 270

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2. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

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An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

.....

.....

(c) Define the term **qualitative data**.

(1)

.....

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4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) State **one** reason why *Rabanne* may use test marketing when introducing a new product.

(1)

In Europe a *Rabanne* handbag costs €1 590.00 (euro).

The exchange rate is €0.93 = $1.00

(e) Calculate, to two decimal places, the price of the handbag in US dollars. You are advised to show your working.

(2)

$ .....

(f) Explain **one** reason why an employer might use a letter to communicate with an employee.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 2 · part d · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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5. Question 2 · part d · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

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(d) Explain **one** way a business could use market research information.

(3)

(e) Explain **one** benefit to a business that has a decentralised organisational structure.

(3)

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5. Question 2 · part d · 3 marks · Working and answer

Working and answer

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6. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

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4 **Figure 3** shows an extract from a statement of financial income.

	$ (US Dollars)
Revenue	218 000
Gross profit	112 000
Other operating expenses	94 000

Figure 3

(a) Calculate, to **two** decimal places, the operating profit margin. You are advised to show your workings.

(2)

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6. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

(b) Analyse the purpose of market research for *Samsung*.

(6)

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6. Question 4 · part b · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part b only.

Samsung has factories in 74 countries and employs 270,000 people. It has a centralised organisation structure. Its head office is in Seoul, South Korea where major decisions on production, design and marketing are made.

(c) Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business.

(12)

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6. Question 4 · part b · 6 marks · Working and answer

Working and answer

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

4 *Huawei* has to maintain the quality of its products to be able to compete with other businesses, as well as generating profit. It must also ensure that the products it produces meet the needs of its customers as well as introducing new and different forms of technology. On its website it states '*Huawei* are committed to bringing digital to every person, home and organisation for a fully connected, intelligent world'.

In January 2019 *Huawei* launched the *Huawei* 10 Pro smartphone in the US at a cost of 5 353 Renminbi (CNY).

The exchange rate was $1 = 6.70 CNY (Chinese Yuan Renminbi)

(a) Calculate the cost of this smartphone in US Dollars. You are advised to show your working.

(2)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Analyse why *Huawei* would want good quality control when producing its smartphones.

(6)

OLevels.com SCHOOL

7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(c) Evaluate why *Huawei* would carry out market research before designing a new product. You should use the information provided as well as your own knowledge of business.

(12)

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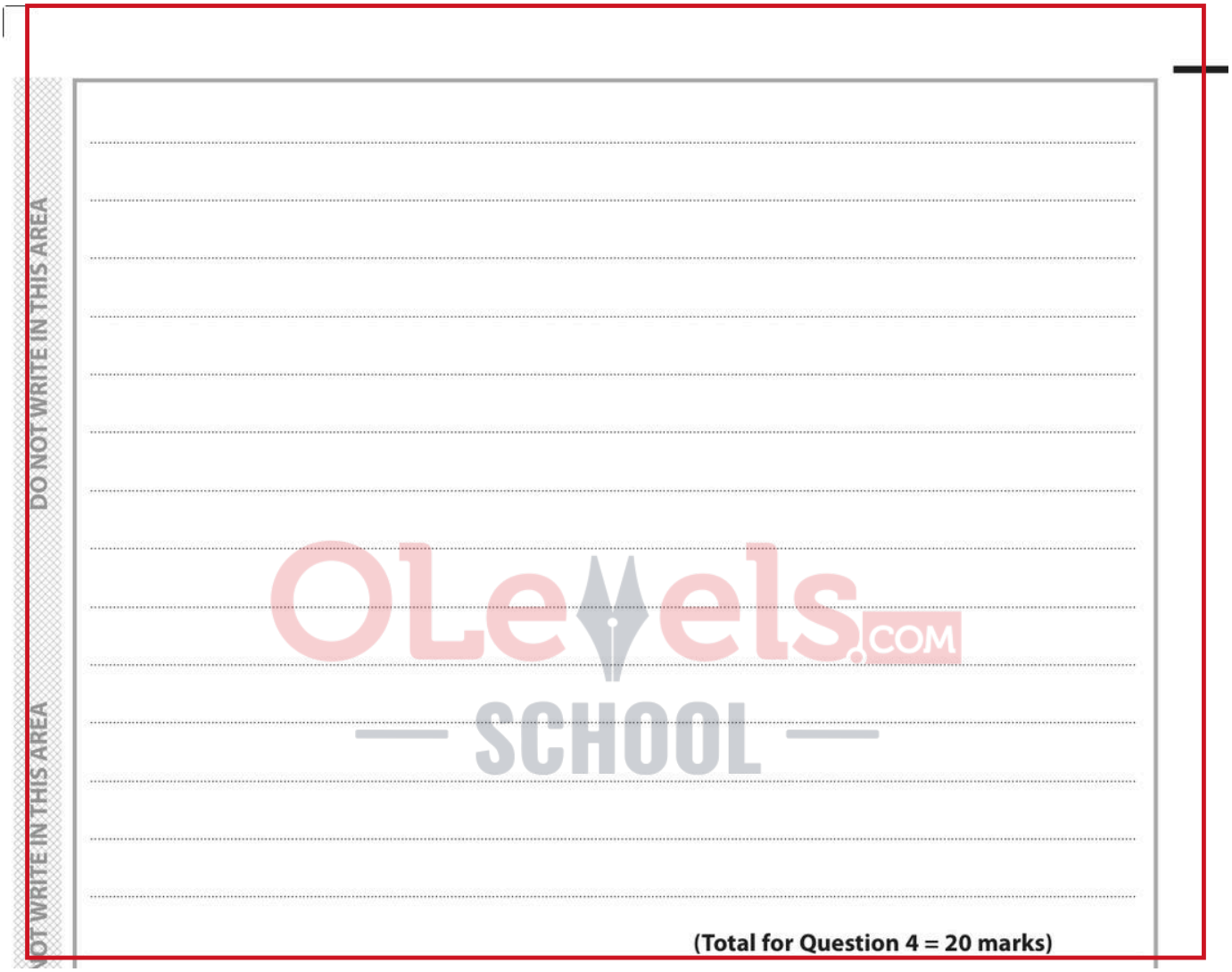
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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.



7. Question 4 · part c · 12 marks · Working and answer

Working and answer

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

4 *Starbucks* aims to be more than just a coffee shop. It celebrates the tradition of coffee and focuses on building a strong connection between its employees and customers. *Starbucks* has a passion for high-quality coffee and is dedicated to creating a fulfilling and enjoyable coffee shop experience for everyone.

All employees have a partner card which means they get a 30% discount on all food and drinks.

An employee purchases a meal deal costing €15.50 (euros).

(a) Calculate, to two decimal places, the cost of the meal with the employee's discount. You are advised to show your working.

(2)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

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(b) Analyse why *Starbucks* thinks it is important to interview candidates that have applied for a job with them.

(6)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

Before introducing new products to all of its coffee shops *Starbucks* carries out product trials.

(c) Evaluate why *Starbucks* carries out product trials that might reduce the risks from introducing new products. You should use the information provided as well as your own knowledge of business.

(12)

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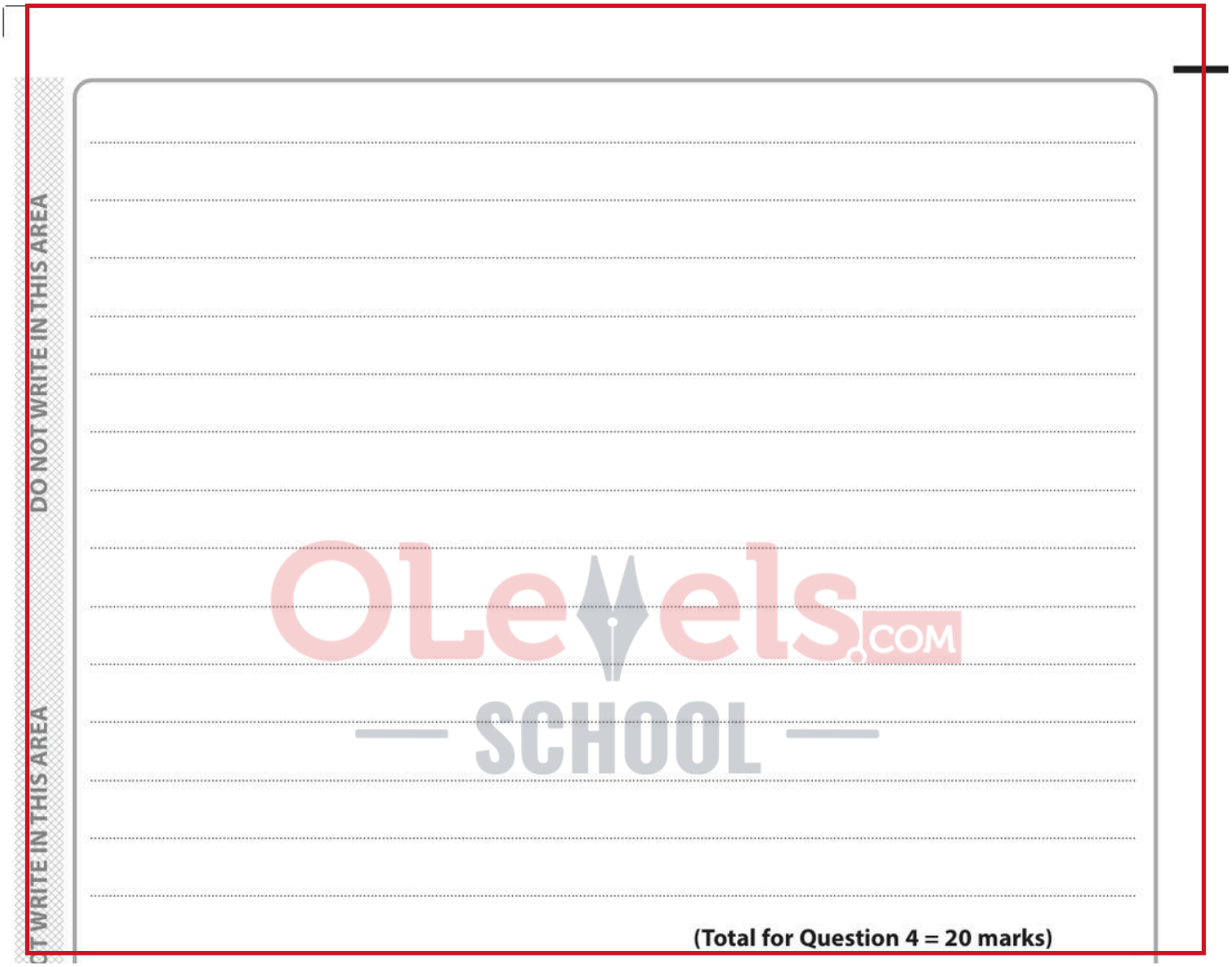
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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.



8. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Why marketing matters: needs, loyalty and share

Why marketing matters: satisfying needs, customer relationships and loyalty, market and product orientation, and market share.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-10

1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

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1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

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(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

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(f) Explain **one** advantage for a business of having loyal customers.

(3)

1. Question 1 · part f · 3 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part f only.

(g) Analyse why *Yellow* might encourage its clothing manufacturers to use Kaizen.

(6)

(Total for Question 1 = 20 marks)

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1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 2 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) State **one** primary research method that *Loaf* could use.

(1)

(b) State **one** drawback for *Loaf* of poor customer service.

(1)

(c) Explain **one** benefit to a business of using e-newsletters.

(3)

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2. Question 2 · part b · 1 mark · Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

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2 *Emirates* wants to encourage its employees to remain with the company and offers them incentives to do so. It offers all of its passengers a loyalty programme.

(a) State **one** non-financial method *Emirates* could use to motivate its employees. **(1)**

(b) State **one** reason why *Emirates* has a loyalty programme for its passengers. **(1)**

(c) Explain **one** benefit for a business of having full-time employees. **(3)**

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

2 *Huawei* is one of many businesses that manufacture smartphones and tablets. It therefore needs to keep and retain its staff, so that production is continuous. This will help to maintain its customers.

(a) State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.

(1)

(b) State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand.

(1)

(c) Explain **one** reason why having good public relations is important to a business.

(3)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a only.

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2 (a) State **one** advantage for *PPS* of keeping its customers loyal.

(1)

(b) State **one** reason why *PPS* motivates its employees.

(1)

(c) Explain **one** impact on a business of ineffective communication.

(3)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Define the term **e-newsletter**.

(1)

(c) Define the term **minimum wage**.

(1)

(d) State **one** reason why *Jimmy Choo* would want loyal customers.

(1)

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6. Question 1 · part d · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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Many countries are concerned about the environment and the amount of plastic waste created. In 2018 the value of recycled plastic was $41.73 billion (US dollars). Experts are predicting that this value will increase by 6.6% by 2027.

(e) Calculate, to two decimal places, the predicted value of recycled plastic for 2027. You are advised to show your working.

(2)

$ ..... billion

(f) Explain **one** reason why businesses comply with equal opportunities legislation.

(3)

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P 7 5 8 4 4 A 0 7 2 0

6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

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2 *TUI* has employees throughout the world. Some are employed to greet customers arriving at their holiday destination by air, rail or road. Others sell trips and excursions to customers once they reach their holiday destination. *TUI* prides itself on looking after all its employees and making sure that their needs are met.

(a) State **one** possible reason why *TUI* would want to keep its customers loyal.

(1)

(b) State **one** reason why *TUI* would employ casual employees.

(1)

(c) Explain **one** reason why businesses employ people with disabilities.

(3)

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) State **one** financial method of motivation *CCT* could use with its employees.

(1)

(b) State **one** benefit to *CCT* of satisfying customer needs.

(1)

(c) Explain **one** way a business could increase its profit.

(3)

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P 7 8 7 9 5 A 0 8 2 0

8. Question 2 · part b · 1 mark · Working and answer

Working and answer

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9. Question 3 · part b · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) Define the term **job share**.

(1)

(b) Outline **one** reason why high levels of customer satisfaction might be important to *Loaf*.

(2)

Figure 2 is an extract from *Loaf*'s statement of comprehensive income in 2018.

	£000s
Revenue	90
Gross profit	22
Other operating expenses	4

Figure 2

(c) Calculate the operating profit margin for *Loaf* in 2018. You are advised to show your working.

(2)

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12

P 6 2 4 2 8 A 0 1 2 2 0

9. Question 3 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*. **(1)**

(b) State **one** way *Can Culleretes* might add value to its business. **(1)**

(c) Explain **one** method a business could use to encourage repeat purchase of its products. **(3)**

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10. Question 2 · part c · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** disadvantage of using personal savings as a source of finance for a business.

(3)

(e) Explain **one** benefit for a business of motivating its employees.

(3)

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10. Question 2 · part c · 3 marks · Working and answer

Working and answer

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11. Question 3 · part b · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part b only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

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11. Question 3 · part b · 2 marks · Working and answer

Working and answer

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12. Question 2 · part e · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

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12. Question 2 · part e · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) Explain **one** advantage of a partnership.

(3)

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(e) Explain **one** disadvantage to a business of product orientation.

(3)

OLevels.com SCHOOL

12. Question 2 · part e · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Aude Rose is looking to increase its sales. It is considering two options:

Option 1: sponsor a local event such as a flower show

Option 2: advertise, using leaflets around Paris.

(f) Justify which **one** of these two options *Aude Rose* should choose.

(9)

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12. Question 2 · part e · 3 marks · Working and answer

Working and answer

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13. Question 2 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

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13. Question 2 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

(d) Explain **one** advantage to a business of using e-commerce to sell its products.

(3)

(e) Explain **one** reason why shareholders would be interested in the financial documents of a business.

(3)

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13. Question 2 · part c · 3 marks · Working and answer

Working and answer

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

Lavender are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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14. Question 1 · part g · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Analyse why customer satisfaction might be important to *Lavender*.

(6)

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(Total for Question 1 = 20 marks)

14. Question 1 · part g · 6 marks · Working and answer

Working and answer

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

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6

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15. Question 1 · part g · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(f) Explain **one** way a business could increase its **gross profit margin**.

(3)

(g) Analyse the importance to *Backyard Shoez* of satisfying customer needs.

(6)

(Total for Question 1 = 20 marks)

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15. Question 1 · part g · 6 marks · Working and answer

Working and answer

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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P 6 6 4 7 2 A 0 4 2 0

16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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(c) Define the term **non-current liabilities**.

(1)

(d) State **one** reason why *NOF* segments its target market by income.

(1)

Figure 1 is an extract from *NOF*'s statement of comprehensive income.

	£000s
Revenue	160
Cost of sales	70
Gross profit	90
Other operating expenses	10

Figure 1

(e) Calculate the operating profit margin. You are advised to show your working.

(2)

.....%

16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(f) Explain **one** strategy a small business might use to extend the product life cycle of one of its products.

(3)

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16. Question 1 · part g · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(g) Analyse the importance of marketing to *NOF*.

(6)

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(Total for Question 1 = 20 marks)

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16. Question 1 · part g · 6 marks · Working and answer

Working and answer

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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1 Jimmy Choo was born in Malaysia. He moved to London and became the founder of *Jimmy Choo*. The business was first known for the shoes it made for women.

Over the years the business has become a multinational business. It has expanded into countries including America, Japan and France. As part of its growth, it now sells clothing, perfume, trainers and wedding outfits. Many celebrities in the fashion and music world are well known for purchasing *Jimmy Choo* products.

Jimmy Choo's brand is identified by its logo, 'JC', which is printed on all items produced. The business has won many awards over the years, including 'Designer of the Year' and 'Ace Brand of the Year'.

(a) (i) Which **one** of the following describes Kaizen?

Select **one** answer.

(1)

- ☒ **A** Continuous improvement
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientation
- ☒ **D** Job production

(ii) Which **one** of the following function areas would pay its employees' wages?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human resources
- ☒ **C** Marketing
- ☒ **D** Production

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The price of buying a pair of *Jimmy Choo* shoes in Malaysia is 3 359.13 Malaysian Ringgits (MYR).

The exchange rate is 5.65 MYR = £1.00 (pounds).

(iii) Which **one** of the following is the price of the shoes in pounds?

Select **one** answer.

(1)

- ☒ **A** £565.00
- ☒ **B** £594.54
- ☒ **C** £3 353.48
- ☒ **D** £18 979.08

(iv) Which **one** of the following is a benefit of being a sole trader?

Select **one** answer.

(1)

- ☒ **A** Additional capital can be easily raised
- ☒ **B** Decisions can be shared
- ☒ **C** Independence for the owner
- ☒ **D** Limited liability

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the cash flow information for a business.

	£
Open balance	38 000
Cash inflow	27 000
Cash outflow	17 000

Figure 1

(v) Which **one** of the following is the closing balance for the business?

Select **one** answer.

(1)

- ☒ **A** £44 000
- ☒ **B** £48 000
- ☒ **C** £55 000
- ☒ **D** £65 000

(vi) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time consuming than secondary research
- ☒ **C** It is only done by market research agencies
- ☒ **D** It is a more up to date method of research

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(b) Define the term **e-newsletter**.

(1)

(c) Define the term **minimum wage**.

(1)

(d) State **one** reason why *Jimmy Choo* would want loyal customers.

(1)

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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Many countries are concerned about the environment and the amount of plastic waste created. In 2018 the value of recycled plastic was $41.73 billion (US dollars). Experts are predicting that this value will increase by 6.6% by 2027.

(e) Calculate, to two decimal places, the predicted value of recycled plastic for 2027. You are advised to show your working.

(2)

$ ..... billion

(f) Explain **one** reason why businesses comply with equal opportunities legislation.

(3)

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17. Question 1 · part g · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

(g) Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied.

(6)

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(Total for Question 1 = 20 marks)

17. Question 1 · part g · 6 marks · Working and answer

Working and answer

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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 *Cadbury* is part of the multinational *Mondelez* business. In 2017 *Mondelez* had a gross profit of $10.3 million and a revenue of $25.9 million.

(a) Calculate, to two decimal places, the gross profit margin. You are advised to show your working.

(2)

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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

When *Cadbury* was founded in 1842, there may have been times when it needed an overdraft.

(b) Analyse why *Cadbury* may have needed to take out an overdraft.

(6)

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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Evaluate the importance of marketing for *Cadbury* when introducing a new product. You should use the information provided as well as your own knowledge of business.

(12)

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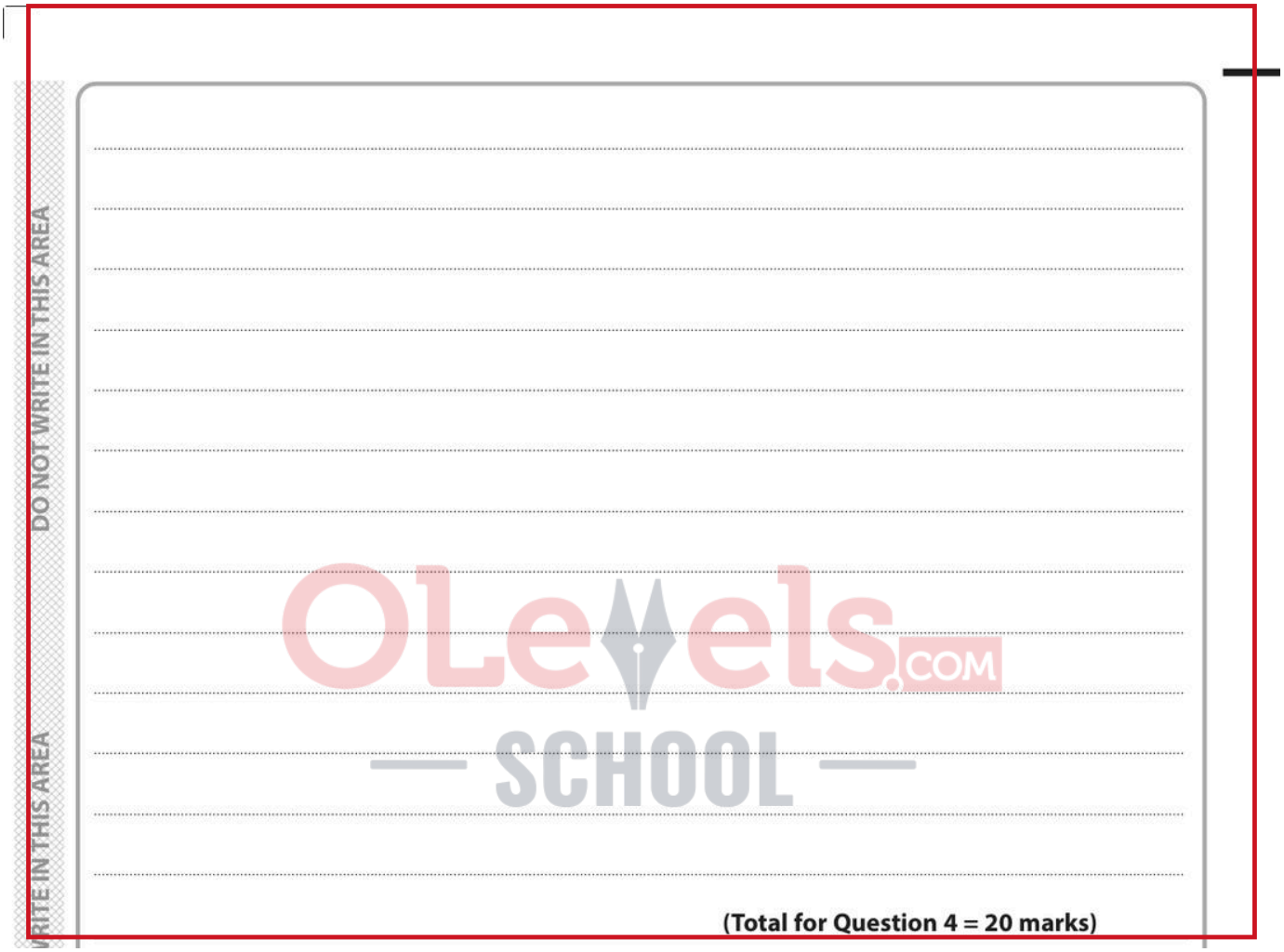
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18. Question 4 · part c · 12 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



OLevels.com SCHOOL

18. Question 4 · part c · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

19. Question 4 · part c · 12 marks

2024 JUN · Paper 01

Further practice · Attempt part c only.

4 *PPS* is planning to introduce a new line of dog treats. **Figure 4** shows some financial information for this product.

	€
Monthly fixed costs	1 000
Variable cost per unit	3.25
Selling price	4.50

Figure 4

(a) Calculate the break-even level of output for this new line of dog treats. You are advised to show your working.

(2)

..... dog treats

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19. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.

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(b) Analyse the importance of cash to *PPS*.

(6)

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Further practice · Attempt part c only.

Another pet business is about to open a rival pet hotel in the village. This is the first time *PPS* has faced competition.

(c) Evaluate the importance of marketing to *PPS* so it can keep its market share. You should use the information provided as well as your own knowledge of business.

(12)

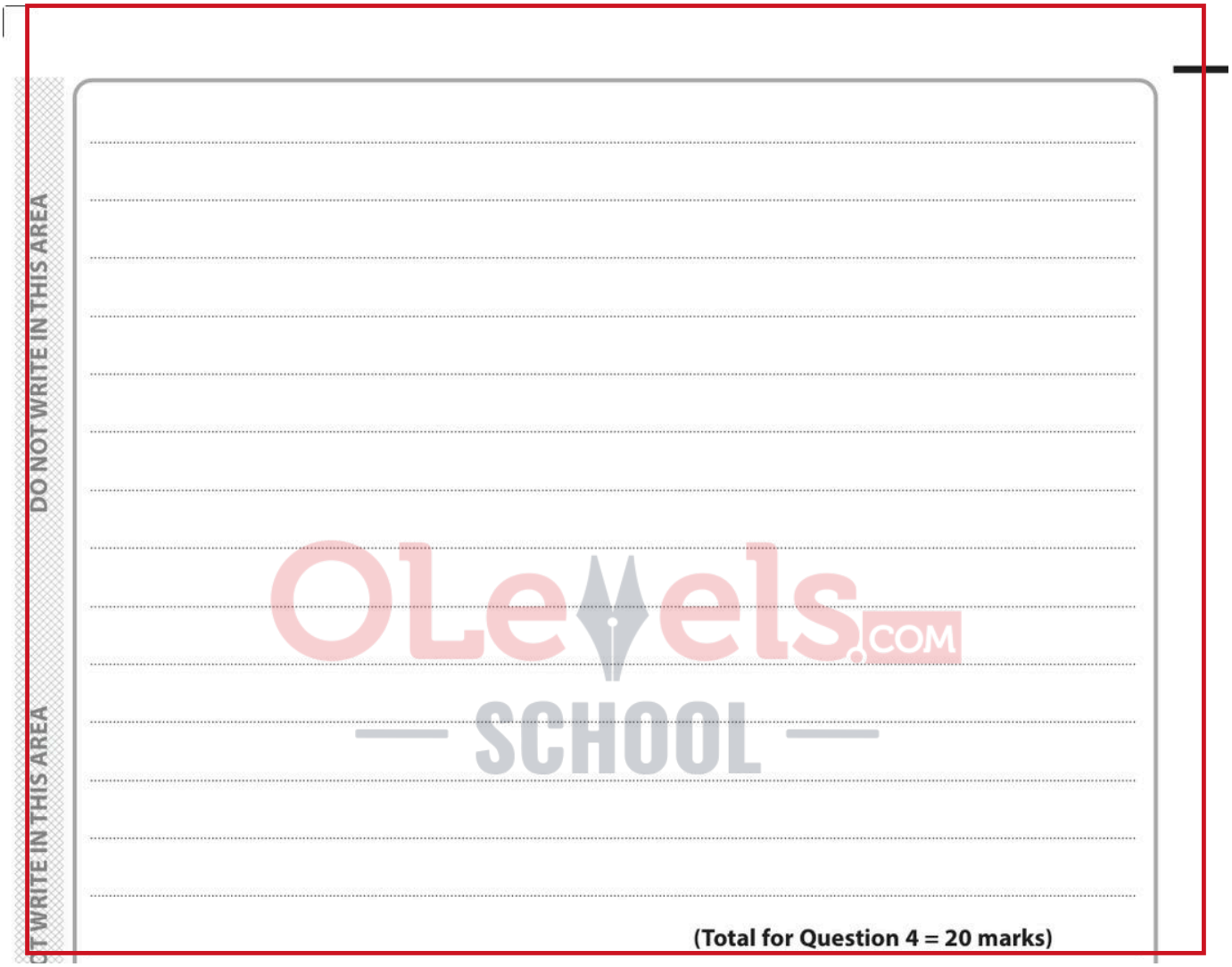
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19. Question 4 · part c · 12 marks · Working and answer

Working and answer

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